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Free Cash Flow with the Company

FCF or free cash flow is basically CFI subtracted from CFO.

$$\text{FCF} = \text{CFO} - \text{CFI}$$

When the company generates cash from investments by selling the investments, it is added to the Cash flow from Operations instead of deducting the same.

After all the investments are made, the amount left with the company is the free cash flow. The larger the cash flow that is left with the company after meeting its investment requirements, healthier it is. We would want a company to produce as much Cash from operations as possible with as little investment needs as possible. So, for steady companies high Free cash flow is important. For growing companies and startups, they need to invest more than they produce and as a result they have negative free cash flow.



The company can decide on how they intend to use their Free cash flow. They can invest into assets, they can allow for dividends, interest etc.

Generally, higher the Free Cash flow, better it is. For stable companies, if FCF is negative for multiple years, that means the company has higher investment requirements than what it can generate through its operations. They will need additional capital to fund this either in the form of debt or equity. This is generally the case with fast growth companies but for steady companies, they must be able to generate healthy free cash flows.

